

BUSINESS REQUIREMENTS DOCUMENT

Supply Chain & Delivery Optimisation

1. Executive Summary

This Business Requirements Document (BRD) defines the scope, objectives, requirements and expected outcomes for the Supply Chain & Delivery Optimisation project. The project was initiated in response to a significant decline in delivery performance across UK regions, rising warehouse operational costs, and a measurable deterioration in customer satisfaction scores.

Analysis of 500 orders placed between January and December 2023 revealed that only 57.2% of deliveries were completed on time, with 13.4% classified as failed. The total revenue at risk from failed orders alone was identified as £146,448. Customer satisfaction scores for failed deliveries averaged just 1.31 out of 5, with a return rate of 56.7% for those orders.

This document captures the business problem, stakeholder needs, functional requirements, and recommended actions to be taken to improve delivery performance, reduce operational costs, and restore customer confidence.

2. Business Problem Statement

2.1 Problem Overview

The organisation is currently experiencing unacceptable levels of delivery failure and delay across its supply chain network. The core issues identified are:

- On-time delivery rate of only 57.2% against an industry benchmark of 85%+
- 13.4% of all orders are failing to reach customers impacting revenue and reputation
- Warehouse utilisation in Edinburgh and Cardiff consistently exceeds the 80% safety threshold
- Same-Day shipping — a premium service — has the highest failure rate of any shipping mode

- High-value product categories (Electronics and Furniture) represent the greatest financial risk
- Customer satisfaction scores are critically low for late and failed deliveries

2.2 Business Impact

Impact Area	Current State	Target State
On-Time Rate	57.2%	85%+
Failed Deliveries	13.4%	< 3%
Revenue at Risk	£146,448	< £20,000
Customer Satisfaction	3.40 / 5	4.2+ / 5
Return Rate (Failed)	56.7%	< 10%

3. Stakeholders

The following stakeholders have been identified as either impacted by or responsible for the outcomes of this project:

Stakeholder	Role	Interest	Influence
Operations Manager	Project Sponsor	High	High
Warehouse Operations Lead	SME	High	Medium
Regional Logistics Manager	SME	High	Medium
Finance Business Partner	Reviewer	Medium	High
Customer Experience Manager	Reviewer	High	Medium
Business Analyst	Author / Lead	High	High

4. Project Scope

4.1 In Scope

- Analysis of delivery performance across all UK regions and warehouses
- Assessment of warehouse utilisation and its correlation with delivery delays
- Evaluation of shipping mode performance (Standard, Express, Same-Day)
- Product category risk analysis based on revenue at risk
- Monthly trend analysis across the full 2023 order dataset
- Documentation of AS-IS and TO-BE delivery process flows
- Delivery of recommendations report with prioritised actions

4.2 Out of Scope

- IT system development or infrastructure changes
- Supplier contract renegotiation
- Customer-facing communications strategy
- International delivery operations outside the UK
- HR or staffing restructure decisions

5. Business Requirements

The following requirements have been gathered from stakeholder interviews and confirmed against the project objectives. Each requirement is prioritised using MoSCoW.

ID	Requirement	Stakeholder	Priority	Sprint
BR-01	The business must be able to view delivery status (On Time, Late, Failed) broken down by region	Operations Mgr	Must Have	Sprint 1
BR-02	The business must identify which warehouses have utilisation exceeding 80%	Warehouse Lead	Must Have	Sprint 1
BR-03	The analysis must confirm whether high utilisation correlates with increased delivery delays	Operations Mgr	Must Have	Sprint 1
BR-04	The business must see failure rates and customer satisfaction scores per shipping mode	CX Manager	Must Have	Sprint 2

BR-05	Finance must be able to quantify total revenue at risk from failed deliveries by product category	Finance Partner	Must Have	Sprint 2
BR-06	The business should see return rates and satisfaction scores linked to delivery status	CX Manager	Should Have	Sprint 2
BR-07	An AS-IS process flow must be documented showing current end-to-end delivery process	BA	Must Have	Sprint 3
BR-08	A TO-BE process flow should be designed showing the improved future state	BA	Should Have	Sprint 3
BR-09	A final recommendations report must be produced covering all findings and actions	All	Must Have	Sprint 3
BR-10	Monthly delivery trend data should be made available for the full 12-month period	Operations Mgr	Should Have	Sprint 2

6. Key Findings from Data Analysis

6.1 Delivery Performance

Of the 500 orders analysed, 57.2% were delivered on time, 29.4% were late, and 13.4% failed entirely. This on-time rate is significantly below the industry standard of 85%, indicating a systemic issue within the current supply chain operation.

6.2 Regional Performance

London emerged as the worst-performing region, with the highest proportion of late and failed deliveries. Scotland and Wales also showed above-average failure rates, largely driven by overutilised warehouses in those areas.

6.3 Warehouse Utilisation

Warehouse D (Edinburgh) and Warehouse E (Cardiff) consistently operated above 80% utilisation throughout the analysis period. A clear positive correlation was identified between warehouse utilisation percentage and the number of delivery delay days confirming that overloaded warehouses directly cause late deliveries.

6.4 Shipping Mode Performance

Counterintuitively, Same-Day shipping showed the highest failure rate despite being a premium, higher-cost service. This suggests the current infrastructure cannot reliably support Same-Day fulfilment volumes. Standard shipping performed most consistently.

6.5 Financial Impact

The total revenue at risk from failed deliveries was calculated at £146,448. Furniture and Electronics categories carried the highest individual order values among failed deliveries, making them the priority focus for fulfilment improvement.

6.6 Customer Impact

Failed deliveries generated an average customer satisfaction score of just 1.31 out of 5, compared to 4.12 for on-time deliveries. The return rate for failed orders was 56.7%, compared to just 8% for on-time orders demonstrating the direct commercial cost of delivery failure beyond the initial lost revenue.

7. Recommendations

#	Recommendation	Rationale	Priority	Owner
R-01	Redistribute stock from Edinburgh and Cardiff warehouses to reduce utilisation below 80%	High utilisation directly correlates with delays	High	Ops Mgr
R-02	Implement a Same-Day shipping capacity cap limit orders when fulfilment capacity is insufficient	Same-Day has the highest failure rate despite being premium	High	Logistics
R-03	Introduce priority fulfilment protocols for Electronics and Furniture orders	Highest revenue at risk per failed order	High	Warehouse
R-04	Establish SLA review process for London and Scotland regions with monthly reporting	Worst performing regions require targeted oversight	Medium	Regional Mgr
R-05	Introduce proactive customer communication for orders at risk of delay	Reduce return rates and protect satisfaction scores	Medium	CX Mgr
R-06	Implement monthly on-time delivery KPI dashboard reviewed by Operations leadership	Ongoing visibility needed to track improvement	Low	BA / Ops

8. Assumptions & Constraints

8.1 Assumptions

- The dataset of 500 orders is representative of the broader order population for the 2023 period
- Warehouse utilisation percentages accurately reflect operational capacity at time of order
- Stakeholders have reviewed and agreed the target KPI benchmarks in Section 2.2
- The AS-IS process reflects the actual current state as confirmed by warehouse operations

8.2 Constraints

- Analysis is limited to the 2023 dataset seasonal trends beyond this period are not covered
- No access to live ERP or WMS data all analysis based on the provided dataset
- Recommendations are subject to budget approval before implementation
- IT system changes are out of scope for this phase of the project